**Q13**

Tax is generally based on cash flows, which enables taxpayers to determine their tax liabilities accurately and in an objective manner. [1]

It also means that cash should be available to settle the tax liability. [1]

For example, capital gains are taxed after the gain has been realised, normally when an asset is disposed of. The proceeds of disposal are then known and the taxpayer can budget for the tax bill from those proceeds. [1]

Tax systems also tend to make tax charges progressive, with little or no tax charged on low incomes or capital and progressively higher proportions taken as incomes or gains increase. [1]

For example, income tax often permits taxpayers a personal allowance which means that no tax is charged on incomes below that amount, which ensures that low-paid workers are not taxed to the extent that they have insufficient post-tax income. [1]

**[Total 5]**

| ***Commentary:*** |
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| *This question was answered well with many candidates displaying a good understanding of taxation. Most candidates were able to discuss and give good examples from a variety of tax regimes.* |



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